Shankara Buildpro Ltd

Concall Tracker, Q1 2027 update | NSE BUILDPRO, BSE 544517 | Steel and building-materials distributor, demerged from Shankara Building Products (listed Jan 2026) | Covers calls up to the Q1 FY27 call (7 Aug 2026)

1. Snapshot

What it does: Shankara Buildpro buys steel pipes, tubes, sheets and roofing plus a long list of home-building products (plumbing, sanitaryware, tiles, electricals, paints) from 100+ brands and resells them to homeowners, contractors, dealers and builders. It sells through its own stores, fulfilment centres, phone and online orders across 10 states. It doesn't make anything. It earns a thin trading margin, with own-brand goods meant to add a bit more.

Figure	Value	Plain read
Market value	Rs 2,256 cr	A small company by stock-market size. Shares now trade after a 1-into-5 split (face value Rs 2).
Q1 FY27 revenue (Apr-Jun 2026)	Rs 1,890 cr	Sales in the quarter, up 21% on last year. Down from the seasonally strong March quarter, which is normal.
Q1 FY27 net profit	Rs 35.8 cr	Up 12% on last year. Profit grew slower than sales because a steel-price drop cost it on stock held.
EBITDA margin (operating profit before interest, tax, depreciation)	3.26%	It keeps about Rs 3.26 of every Rs 100 of sales. Thin, as trading always is.
Steel volume	2.5 lakh tonnes	How much steel it sold, up 10% on last year in a weak quarter for the industry.
ROCE	35%	Very high return on the little capital it uses. This is the whole case for the business.
P/E	~15	You pay about 15 rupees per rupee of yearly profit. Not demanding.

2. Concall coverage

Quarter	Call date	Transcript read?
Nov 2022 → Nov 2025 (13 pre-demerger parent calls)	various	Carried forward from the Q4-2026 report
Q4 FY26 (Buildpro's own call, prior report's boundary)	21 May 2026	Carried forward from the Q4-2026 report
Q1 FY27 (Apr-Jun 2026)	**7 Aug 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this time. The longer backstory comes from the prior report, which leaned on the old parent's calls because Buildpro only listed in January 2026.

2b. Latest concall highlights, Q1 FY27 (call 7 Aug 2026) ★

- **Sales up, profit up less.** Revenue Rs 1,890 cr (+21%), net profit Rs 35.8 cr (+12%), EBITDA Rs 62 cr (+17%). Steel prices jumped in April then fell in May-June, and that swing cost about Rs 10 cr on stock and fixed-price contracts. Without it, margin would've been close to 3.8%.
- **Steel volume grew only 10%** against a full-year aim of 20% (1.2 million tonnes). Management blames a soft April-May (West Asia conflict, energy costs) and says June and July bounced back hard. They'd need to grow faster than 20% for the rest of the year to hit the target.
- **Non-steel finally grew.** Rs 165 cr, up 15% after two weak years. Fittings and sanitaryware, its largest non-steel line, grew 32%. Tiles were hit by the gas shortage at Morbi but are recovering. FY27 target for non-steel growth stays at 25%.
- **Other news:** 1-into-5 stock split approved by the board; 3 new fulfilment centres with about 5 more planned this year; same-store sales up 21%. Medium-term margin aim of about 4%; 2 million tonnes of steel in about four years.
- **Tone:** confident, leaning on the June-July rebound. Hedged with "unless there are absolutely unforeseen headwinds".

2c. Business mix & capacity

Steel vs non-steel: steel Rs 1,725 cr vs non-steel Rs 165 cr in Q1, so about nine-tenths of sales is steel.
Retail vs other channels: about 50-55% of volume goes through retail.
Domestic vs export: essentially all domestic. A formal split isn't given.
Capacity: it's asset-light, so there's no plant utilisation figure. Its "capacity" is the store and fulfilment network, growing by about 8-9 centres this year. Working capital at 27 days, under its 30-day ceiling.

2d. Since our last report ★

Builds on the Q4-2026 report (boundary: Buildpro's 21 May 2026 call). Prior verdicts: **Trigger YES**, **Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Earning trigger	Asset-light steel distribution compounding ~30% a year at high returns	Revenue +21%, ROCE 35%, but steel volume only +10% in the quarter	On-track (slower start)
Consistency	Delivers on volume and returns; over-promises on margin and mix	Same pattern: big targets kept, margin again below its 3.5% talk	Unchanged
Non-steel / own-brand	Stuck at ~10% of sales, fell in Q3 FY26	Back to growth (+15%); but the long-run mix goal is now walked down to about 15% of volume	Improving (goal lowered)
Margin toward 3.5-4%	Stuck at ~3.3-3.4%	3.26% reported; ~3.8% excluding stock losses	Slipping
Steel price risk	Thin margin means price swings dent a quarter	Exactly what happened: about Rs 10 cr hit	Confirmed

Verdict change: both verdicts unchanged. The trigger is still live but the quarter was softer than the guide. Management's old habit of trimming the softer targets showed again with the non-steel mix goal.

3. Earning trigger thesis ★

The case hasn't moved: a steel-and-building-materials distributor that earns a very high return on the little money it ties up, now split away from the low-return factories. Growth comes from selling more tonnes through more stores and towns, with own-brand and value-added steel (cut-to-length, laser cutting) as small margin add-ons. Management says steel demand in India still has years of growth ahead, and that well-funded online rivals have eased off.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Steel volume growth	1.2 mt in FY27; 2 mt in about 4 years	Q1 +10%; FY26 +32%; June-July rebound claimed	Multi-year	Strong	↓ slower quarter, guide held
High-return asset-light model	Keep working capital under 30 days, ROCE ~30%+	ROCE 35%, 27 days, finance cost down	Ongoing	Strong	unchanged
Non-steel / own brands	+25% growth in FY27; ~15% of volume long term	+15% in Q1; sanitaryware +32%	FY27-FY30	Weak-Moderate	↑ growing again, goal lowered
Margin to ~4%	3.5% steady state, ~4% medium term	3.26% (3.8% ex stock loss)	FY28	Unproven	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
2022-FY26 (carried forward)	Grow steel volume, keep returns high, demerge	Volumes +27-32% a year; demerger done (late); ROCE ~39%	Delivered
2023-FY26 (carried forward)	EBITDA margin 3.5-4%; non-steel to 20-25% of sales	Margin ~3.3%; non-steel stuck ~10% and fell	Missed
May 2026	FY27: steel volume +20% (1.2 mt)	Q1 +10%; full-year target reaffirmed	Too early (behind)
May 2026	FY27: non-steel +25%	Q1 +15%	Partly
May 2026	~20% revenue growth at ~3.5% margin	Revenue +21%; margin 3.26%	Partly
Aug 2026	Long-run non-steel share	Now "about 15% of volume", down from the old 20-25% of sales	Dropped (quietly lowered)

Narrative drift: the main story is steady and has been since 2022: "we're a distributor, not a maker". What drifts is the fine print. The margin target keeps sitting just above what gets reported, and the own-brand mix goal has now been lowered again, this time openly. The upside is that management was candid on the call about how hard non-steel growth is, rather than repeating the old numbers.

5. Bottom line

Durable earning trigger? → YES

vs last quarter: unchanged

A softer quarter didn't change the picture. Steel volumes still grew while the industry was flat, returns stay very high, working capital is tight and the stock isn't expensive. The catch is the same as before: margins are wafer-thin, so any steel price swing shows up straight in profit, as it did this quarter. The full-year volume target now needs a strong second half.

Management consistent? → MAYBE

vs last quarter: unchanged

Nothing moved it either way. Management keeps hitting the big promises (volume growth, returns, the demerger) and keeps falling a little short on the softer ones (margin, own-brand mix). This quarter added one more example: the long-run non-steel goal was lowered. Hitting 1.2 million tonnes after a slow first quarter would push this toward a YES.

Sources: Screener.in snapshot and quarterly results; Shankara Buildpro Q1 FY27 earnings-call transcript (7 Aug 2026); earlier history carried forward from the Q4-2026 concall-tracker report. This is not investment advice; do your own due diligence.